

Section H – Petty Cash

32. Petty Cash Float

- 32.1. The Finance Department shall be responsible for proper maintenance of petty cash floats across EDB. The Finance Department shall establish the petty cash float, including the limits and custodians, after approval as per the DoA and an audit trail shall be maintained of the agreed custodians and their respective floats.
- 32.2. The Petty Cash Custodians shall ensure that all guidelines related to the management of the petty cash are followed.
- 32.3. Standard petty cash floats shall be for AED 20,000, except where approved for higher amounts as per the DoA.
- 32.4. Petty cash float shall not be used for salary advances, unless approved by HR Department and CFO, in case of emergency or exceptional cases. A proper justification for the same shall need to be documented.
- 32.5. The petty cash floats shall be reviewed on an annual basis to determine adequacy. The petty cash float limit may be increased or decreased during the year, due to operational requirements, upon recommendation from the CFO and approval as per the DoA.
- 32.6. In case of absence of a Petty Cash Custodian, the CFO can either take custody or designate temporary responsibility of petty cash custodianship to a designated Employee for the maintenance of the petty cash float.
- 32.7. In case of handover of float to a new petty cash custodian, the previous petty cash custodian shall reconcile the petty cash balances on hand with outstanding advances and total limit of petty cash float prior to the handover. The reconciliation shall be authorised as per the DoA.

33. Petty Cash Payments and Replenishment

- 33.1. The maximum amount that can be claimed for an individual transaction through petty cash shall not exceed AED 2,000. Any amount in excess of AED 2,000 shall be settled by means of a cheque or bank transfer, unless cash is the only method of payment. In case of a special business need, a higher amount may be claimed with the approval of the CFO.
- 33.2. Petty cash is generally used for consumable goods such as pantry items, where the vendors are one-off and non-recurring and therefore not registered as vendors in the system. The following items have been listed to provide guidance on the type of purchases for which the petty cash float may be used:
- Government fees that are payable only in cash – employee visa fees, trade license, car registration, Government department payments, notarization, translation and attestation expenses incurred by the PRO;
 - One-off pantry and office supplies;
 - Parking fees and emergency repair of operational vehicles; and
 - Any other unforeseen costs, less than AED 1,000 that can only be paid in cash.
- 33.3. The petty cash float shall be replenished when the funds fall below 50% of the float amount. Petty cash float balance shall not be replenished without the expense claim forms and acceptable original receipts as proof of previous spending.
- 33.4. Petty cash replenishment shall be done through a cash cheque payment or transfer in favour of the petty cash custodian.

34. Petty Cash Verification

- 34.1. The Finance Department shall perform a physical verification of the petty cash on a quarterly basis.
- 34.2. Petty cash balances and records shall also be subject to random unscheduled inspections, by a member of the Finance Department who is not a petty cash custodian, twice a year.
- 34.3. While physically verifying the petty cash balance, it shall be determined that:
- a) The cash in the safe is physically counted;
 - b) Advance claim forms are checked and reconciled; and
 - c) Differences (if any) have been reported to the CFO and reconciled, on timely basis.

35. Cash Surplus and Shortages

- 35.1. All cash surpluses and shortages must be computed and recorded on a timely basis and reported to the CFO.
- 35.2. Cash surpluses and shortages shall also be periodically reviewed by CFO to ascertain whether the discrepancies are significant.

36. Misuse or Inappropriate Use of Petty Cash

- 36.1. Fraud is regarded by the bank as a serious offence and classified as gross misconduct. Failure to comply with or breaches of petty cash policies may lead to disciplinary actions being taken against individual members of staff in line with the Human Resources Policy.